State law requires HCD to consider housing cost burden when determining a region's housing need. During consultation, SCAG and HCD discussed how that requirement should be measured. Standard Census tables do not provide sufficient information to measure cost burden at the income levels specified in state law, so SCAG analyzed the underlying Census survey data and provided that analysis to HCD.[7]

Housing cost burden is a ratio that compares housing cost relative to household income. This is a significant issue in Southern California. In the SCAG region, the median home value is **8.46 times median household income**, compared with **6.02 times income in the Sacramento region**.
SCAG's analysis also found that an estimated **57 percent of the cost-burden adjustment comes from moderate- and above-moderate-income households**.

The central question is therefore not whether high housing costs are a problem. **The question is how much additional housing should reasonably be added to the RHND to address that problem**, especially when the data point measuring it covers a very broad group of households.

Other adjustments in HCD's determination have a relatively clear numerical target. Even though a lot of behavioral and market factors affect whether these outcomes happen, HCD can estimate how many homes would be needed to:

- Increase supply enough to reach a healthier vacancy rate
- Increase supply enough to provide housing for all people experiencing homelessness
- Increase supply enough to reduce overcrowding to the national level.

The cost-burden adjustment works differently. HCD adds housing units based on the number of households experiencing higher cost burdens, but the methodology does not estimate **how much new housing would be needed to reduce cost burden by a particular amount**.

Economic theory tells us that more housing supply can help moderate housing prices and improve affordability. But the relationship is not one-for-one: **adding one home does not necessarily eliminate cost burden for one household.** Housing costs and household incomes are influenced by many factors. HCD has acknowledged that it would require extensive economic analysis and modeling to understand how supply affects cost burden.[8] In the absence of this modeling, SCAG's

[7] The American Community Survey (ACS) provides raw microdata and preformatted tables based on a 1 percent annual survey of the American population. ACS Table B25140: Housing Costs as a Percentage of Household Income in the Past 12 Months is used by HCD and indicates the share of households in a given area spending more than 30 percent or more than 50 percent of their income on housing cost. Reference to the cost-burden measure appears in Government Code Section 65584.01(b)(1)(H) references the 30 percent threshold, for very low, low, moderate, and above moderate-income households. Unfortunately, preformatted ACS tables are unable to fulfill the statutory requirement to assess cost burden at a region's specific income levels.
[8] See page 78 of https://www.hcd.ca.gov/rhna/ca-housing-future